

Thread Bare

MINISTRY OF TEXTILES

Staff: **4,824**

Wages and allowances: **Rs 94.18 crore**

Total plan and non-plan expenditure: **Rs 3,136.68 crore**

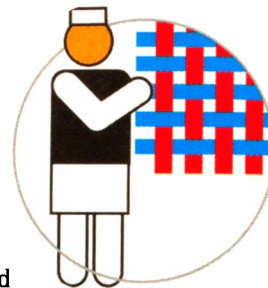
RATIONALE: To oversee policy formulation, planning, development, export promotion and trade regulation of textiles. It is responsible for making raw materials available to both large mills and handlooms. It also coordinates the activities of Textile Research Associations.

REALITY CHECK: The industry may be the largest employer in the economy, but there is no role for the Government. One of the boom areas, it is completely open to investment and is licence-free.

India ruled the textile world before it was colonised by the British. There may have been the regal support of the maharajas, but textile was always a private enterprise. Perhaps in the post-Independence era, the ministry would have made sense since the sector

needed to be nurtured back to health after the debilitating impact of British rule. But it didn't make sense to Jawaharlal Nehru, so there was no Textiles Ministry in the first Cabinet. Indeed, for three decades after Independence, successive governments didn't see any need for a Ministry of Textiles. It was only in 1976 that the Department of Textiles was created under the Commerce Ministry, only to be merged into the Department of Industry a year later. An independent ministry was created only on November 15, 1985. Since then it has expanded to include nine PSUs, two institutes, development boards for silk, jute and wool, and nine textile research associations, besides export promotion councils. Recently, it has also added textile/garment parks.

The ministry has the dubious distinction of spending less than its allocation through the entire Tenth Plan. Successive ideas like the Apparel Park for Export Schemes and the Textile Centre Infrastructure Development Scheme have failed and the Standing Committee of Parliament for the ministry recommended that instead of loading the sector with a plethora of half-baked schemes, a few effective and well-planned ones should be devised—to assist the industry, to achieve the desired growth of the sector and to make it globally competitive.



Rusting Away

MINISTRY OF STEEL

Staff: **406**

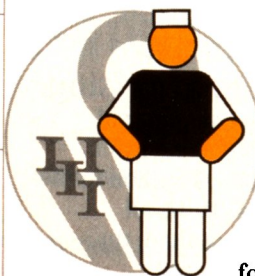
Wages and allowances: **Rs 9.39 crore**

Total plan and non-plan expenditure: **Rs 150 crore**

RATIONALE: To coordinate and plan the growth and development of the steel industry; formulate policies on pricing, distribution and imports; and development of input industries.

REALITY CHECK: Steel was one of the first sectors to be decontrolled in the first wave of Manmohanomics. As early as in January 1992, the Government of India disbanded all the controls that shackled the steel industry. That the ministry exists 15 years later is testimony to the power of pelf and patronage.

To get a sense of the size of babudom in a ministry that has been shorn of controls, consider the administrative set-up of the Steel Ministry, headed by a minister assisted by a secretary, an additional secretary and a financial adviser, three joint secretaries, a chief controller of accounts, an economic adviser of the rank of joint secretary, four directors, two deputy secretaries and 13 under-secretaries besides other officers.



What is ironic is that despite the disbanding of control, the ministry claims to oversee policies on production, pricing, distribution, imports and exports of steel. In its professed aims, first priority is accorded to "providing single-window clearance for large projects, to be followed by statutory clearances by the concerned ministries". That mega

projects like that of the Tatas (who have projects totalling 27 million tonne lined up in the sector), Korean major Posco and Mittal-Arcelor have been struggling for clearances for over three years gives you a sense of this make-believe situation. With the private sector taking the lead in creating capacity, the ministry must be disbanded without further delay.